



VA Interest Rate Reduction Refinance Loan (IRRRL)

PROGRAM SUMMARY

An IRRRL is a new VA-guaranteed loan made to refinance an existing VA-guaranteed loan, generally at a lower interest rate than the existing VA loan, and with lower principal and interest payments than the existing VA loan.

PRODUCTS OFFERED

FIXED-RATE MORTGAGES

Traditional and jumbo loan amounts are separated into distinct products:

- 10-year
- 15-year
- 20-year
- 25-year
- 30-year

ADJUSTABLE-RATE MORTGAGES

Traditional and jumbo loan amounts are combined into the same product. Manufactured homes are not eligible for the ARM product. Fixed-rate products only.

- 5/1 CMT

ELIGIBLE BORROWERS

Refer to the [VA website](#) for detailed guidelines.

ELIGIBLE PROPERTY TYPES

- 1 to 4-unit properties
- PUDs
- Condominiums (refer to [Chapter 16 of VA Pamphlet 26-7](#))
- Manufactured homes
 - Multiple width homes only
 - No new construction; only homes already on a permanent foundation and properly converted to and taxed as real property.
 - Manufactured homes are not eligible for the ARM product. Fixed-rate products only.

INELIGIBLE PROPERTY TYPES

- Single wide and new construction Manufactured home
- Cooperative
- Working farm, ranch or orchard

LOAN AMOUNTS

Loan amount may not exceed the total of the following:

- Existing VA loan balance
- Allowable fees and charges
- Up to two discount points



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- VA funding fee
- \$4,000,000

TEMPORARY BUYDOWNS

Not eligible

CREDIT ALERT INTERACTIVE VOICE RESPONSE SYSTEM (CAIVRS)

All borrowers must be screened using HUD's Credit Alert Interactive Voice Response System (CAIVRS). Generally, any lien must be paid-off or existing delinquent account brought current. Collect each applicant's Social Security Number prior to accessing CAIVRS.

APPROVED FHA LENDERS

If your company is FHA Approved and you have access to the [FHA Connection](#), obtain CAIVRS there.

NON-FHA APPROVED LENDERS

Non-FHA participating lenders who are currently VA Approved with a VA Agent Identification Number may apply for access from HUD's [CAIVRS FAQ](#) page. If your company has not been issued a VA Agent Identification Number, complete the *VA CAIVRS Authorization Form*, [Doc. #9734](#) to order CAIVRS.

DISCOUNT POINTS

A lender may charge reasonable discount points.

UNDERWRITING

- 1 and 4-unit transactions require a minimum credit score of:
 - 580 for loan amounts up to **the conforming 1-unit loan limit**.
 - 600 for loan amounts up to \$4,000,000.
- Non-traditional, alternative credit and no credit score loans are eligible and will follow the [VA Lender's Handbook – VA Pamphlet 26-7](#). A credit score of 999 should be entered for those borrowers.
- To determine credit scores, a tri-merge credit report is required for all IRRRLs. If the mortgage history is not included on the credit report, a supplemental credit report for the mortgage history must be provided.
- An IRRRL made to refinance a VA loan over 30 days past due may not be processed and closed under the automatic procedure. Loan must be sent directly to VA Regional Office for prior approval and will require additional documentation.
- Manufactured homes are ONLY permitted where the existing loan is serviced by Flagstar Bank (a.k.a., Flagstar-to-Flagstar refinance). No other manufactured home transactions are permitted.

For underwriting questions and support, email [Government Underwriting Support](#) or call (866) 945-9872.

COMPUTATION WORKSHEET/SUBMISSION DOCUMENTATION

Refer to the *Interest Rate Reduction Refinancing Loan Worksheet*, [VA Form 26-8923](#). See *Government Forms and Disclosures*, [Doc. #9005](#) for additional submission documentation information.



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VA ALLOWABLE FEES AND CHARGES

Refer to *Chapter 8 of VA Pamphlet 26-7* for closing costs that are allowed by VA to be paid by the borrower and those that must be paid by the seller or lender. For information regarding Flagstar's administrative fee, please refer to *Comprehensive List of Fees – Broker, Doc. #4618* or *Comprehensive List of Fees – Correspondent, Doc. #4619*.

VA FUNDING FEE

VA collects a funding fee on each loan to compensate for any losses or defaults unless the veteran is exempt. The funding fee is one-half percent (0.5%) for IRRRL.

ADJUSTABLE RATE DETAILS

Interest Rate Adjustment Caps	5/1 ARM Initial: 1% up/down; Periodic: 1% up/down; Lifetime: 5% up
Margin	See Price Indication Sheet
Index	1-Year Constant Maturity Treasury (CMT)
Interest Rate Floor	The interest rate floor is equal to the Margin
Change Dates	5/1 ARM: Initial interest rate change date will occur within 60 to 66 months, depending on disbursement date. See the table below. Interest rate will adjust every 12 months thereafter.
Conversion Option	None
Assumption	Subject to conditions, fees and rate adjustment
Negative Amortization	None

Initial Interest Rate Change Dates ¹	
First Payment Date	Initial Change Date ²
Jan. 1, Feb. 1, Mar. 1	April 1
Apr. 1, May 1, Jun. 1	July 1
Jul. 1, Aug. 1, Sep. 1	October 1
Oct. 1, Nov. 1, Dec. 1	January 1

1. The initial interest rate change dates are also published on the daily price indication sheet.

2. The change date is always the first day of the month.

STATE ELIGIBILITY

Available in the following states with restrictions. States not listed are available without restrictions.

State	Restriction
Puerto Rico	Not eligible

CLOSING DOCUMENTATION

Closing docs may be ordered through Flagstar's Web Based Closing Docs (WBCD) service available on Loantrac. Call (866) 945-9872 for questions pertaining to drawing Web Based Closing Docs.